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KSE-100 V

168,022

▼ 0.81% Wed ·
-1,371 pts

S&P 500 V

▼ 0.45%

Dow -1.21% ·
Nasdaq -0.01%

US 10Y / 2Y V

4.97 / 4.64

Fed hikes to
3.75-4.00% ·
hawkish dot plot

BRENT / WTI V

\$105.83 / \$102.43

-2.7% / -3.2% ·
pipeline repair

GOLD V

\$4,338

+1.07% · silver
\$64.70

USD/PKR V

277.70

interbank · broadly
steady

01 Five Things You Need To Know To Start Your Day

PSX SELLOFF

The **KSE-100** fell 1,370.52 points (-0.81%) on Wednesday to close at 168,021.80, giving back most of Tuesday's reserves-driven bounce. Breadth turned decisively negative — 320 of 496 traded names declined against just 121 advancers — on volume of 356.14 million shares worth Rs19.49bn. Topline Securities attributed the selling to "escalating Middle East tensions and elevated oil prices" prompting institutions to lock in gains, with FFC, ENGRO, HBL and LUCK the heaviest drags while MLCF (+2.28%) and PPL (+1.27%) bucked the trend. [Business Recorder](#) and [Daily Independent](#) confirm the print. Sentiment: **profit-taking on geopolitics**.

FED DELIVERS FIRST HIKE SINCE 2023

The FOMC voted 12-0 to raise the federal funds target range by 25bp to **3.75%-4.00%**, its first increase since 2023, as Chair Kevin Warsh flagged persistent inflation risk. The updated dot plot now points to a median 4.1%-4.4% by year-end 2026 — up from the prior 3.6%-4.1% — signalling a higher-for-longer stance despite the hike. [CNBC](#) and [FXStreet](#). Sentiment: **hawkish surprise**.

WALL STREET SINKS POST-FED

US equities sold off into the decision: the **Dow dropped 631.21 points (-1.21%) to 51,461.90**, the **S&P 500 fell 0.45% to 7,551.81**, and the **Nasdaq slipped 0.01% to 25,978.42**. The 10-year Treasury yield touched a fresh 52-week high of 5.041% intraday before settling near 4.97%; the 2-year spiked to about 4.64%. [CNBC](#) and [TheStreet](#). Sentiment: **risk-off**.

OIL RETREATS ON PIPELINE REPAIR

Brent settled at \$105.83/bbl (-2.7%) and WTI at \$102.43 (-3.2%), pulling back from multi-month highs after US officials said Saudi Arabia's drone-damaged East-West pipeline would resume operations within days, easing the acute phase of the Hormuz-linked supply scare. OPEC+'s core seven nonetheless held October output unchanged at their September 6 meeting given the disruption's persistence. Per [CNBC](#) and [Energy Connects](#). Still-elevated crude keeps Pakistan's import bill a live current-account risk. Sentiment: **premium easing, not gone**.

GOLD & SILVER RALLY ON HIKE DAY

Gold rose 1.07% to about \$4,338/oz and silver jumped 1.65% to roughly \$64.70, with safe-haven and inflation-hedge demand outweighing the drag of a hawkish Fed as investors focused on the dot plot's higher-for-longer inflation implications. Per [Trading Economics](#) and [Yahoo Finance](#). Sentiment: **safe-haven bid**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Wednesday's 0.81% PSX pullback to 168,021.80 erased most of Tuesday's reserves-driven bounce, with breadth swinging sharply negative (320 decliners vs 121 advancers) as Topline Securities cited "macroeconomic stability and external account" concerns tied to elevated oil prices and Middle East tensions. The **State Bank held its policy rate at 11.5%** at its September 14 MPC meeting even as August CPI ran hot at 11.15% y/y, per [Trading Economics](#), well above the 5-7% target band; 6-month KIBOR sits near 11.86% per [SBP](#) data. The rupee held broadly steady around 277.70 in the interbank market, per [Business Recorder](#). Pakistan and the IMF are set to open talks around September 22-23 on the fourth EFF and third RSF reviews, alongside the country's first Article IV consultation in two years, with roughly \$1.2bn in combined disbursement at stake and Islamabad reportedly on track to meet six of seven quantitative targets, per [24NewsHD](#) and [TechJuice](#).

B. GCC & Middle East

Oil's Hormuz/pipeline risk premium eased but did not disappear: Brent and WTI both fell more than 2.5% Wednesday after US officials signalled Saudi Arabia's damaged East-West pipeline would restart within days, per [CNBC](#). Even so, **OPEC+'s core seven held October output policy unchanged** at their September 6 meeting, wary of Gulf supply that remains partly shut in. Non-oil momentum stays firm — Saudi Arabia's PMI hit 53.8 in August, a six-month high and fifth straight month of expansion, while the UAE's composite reading rebounded sharply to 55.3 from 52.7, per [Arab News](#). Riyadh's PIF kept executing its 2026-2030 strategy, launching the Gulf Coast Development Company on September 7 to build an integrated coastal destination at Al-Khafji in the Eastern Province, per [PIF](#).

C. Global Intelligence

The Fed delivered its first rate hike since 2023, lifting the funds target range 25bp to 3.75%-4.00% on a unanimous 12-0 vote, with Chair Kevin Warsh citing persistent inflation risk; the updated dot plot points to a higher-for-longer 4.1%-4.4% median by year-end, per [CNBC](#). Equities sold off into the news — Dow -1.21%, S&P 500 -0.45%, Nasdaq roughly flat — while the 10-year Treasury brushed a fresh 5.04% high before settling near 4.97%. Separately, **Congress returned to Washington** for a brief pre-midterm session with renewed pressure to regulate AI, but per [Semafor](#) the legislative window is closing fast, with the House set to adjourn around September 17 and lawmakers turning to the November 3 midterm campaign.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	IMF's 4th EFF/3rd RSF review and first Article IV consultation in two years begin ~Sep 22-23, with \$1.2bn in combined disbursement at stake	Banks, Sovereign Eurobonds, External Accounts	Wins: banks and sovereign credit positioned for the ~\$1.2bn disbursement, with Pakistan reportedly on track on six of seven quantitative targets Loses: importers and the current account facing a still-elevated oil bill even as crude eases from its highs
Regional — GCC	OPEC+ holds October output steady amid Hormuz/pipeline disruption, while PIF advances its 2026-2030 strategy with the new Gulf Coast Development Company	Energy, Tourism, Logistics, Coastal Development	Wins: Gulf oil exporters still capturing an elevated (if easing) price premium; PIF-backed tourism and logistics allocations under the Al-Khafji coastal project Loses: Gulf and Asian oil-importing economies absorbing higher landed crude costs while the risk premium persists
Global	Fed's Sep 16 hike to 3.75-4.00% (first since 2023) lands as Congress's AI-regulation window closes ahead of the Nov 3 midterms	Rate-Sensitive Equities, Bonds, AI/Tech	Wins: the dollar and short-duration savers on a higher-for-longer rate path; AI incumbents facing no near-term federal guardrails Loses: long-duration bonds and rate-sensitive growth/tech names repricing to a hawkish dot plot

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

166,500

near Wednesday's session low; deeper support at the 165,000 handle

PIVOT EST.

168,022

Wednesday's close

RESISTANCE EST.

169,392

Tuesday's close ceiling; then the 170,000 handle

We read Wednesday's 0.81% pullback as a reversion to the hawkish-Fed, elevated-oil narrative after Tuesday's reserves-driven bounce proved idiosyncratic rather than trend-defining. With the Fed now confirmed at 3.75-4.00% and its dot plot signalling higher-for-longer policy, global dollar liquidity tightens just as Pakistan heads into the September 22-23 IMF review — a binary catalyst for sentiment. **We would fade strength into the 169,392 resistance band and treat a close below 166,500 as confirmation that downside momentum is building**, particularly if the IMF talks stumble or oil reclaims its recent highs. All levels are indicative desk estimates, not recommendations.

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